(iii) Planning process should be ‘re-structured’ in the era of liberalisation; and

(iv) There should be increased thrust on the ‘social sector’ (i.e. education, healthcare etc.)

Ninth Plan:

The Ninth Plan (1997–2002) was launched when there was an allround ‘slowdown’ in the economy led by the South East Asian Financial Crisis (1996–97). Though the liberalisation process was still criticised, the economy was very much out of the fiscal imbroglio of the early 1990s. With a general nature of the ‘indicative planning’ the Plan not only did target an ambitious high growth rate (7 per cent) but also tried to direct itself towards time-bound ‘social’ objectives. There was an emphasis on the seven identified Basic Minimum Services (BMS) with additional Central Assistance for these services with a view of obtaining complete coverage of the population in a time-bound manner. The BMS[82] included:

(i) Safe drinking water;

(ii) Primary health service;

(iii) Universalisation of primary education;

(iv) Public housing assistance to the shelter-less poor families;

(v) Nutritional support to children;

(vi) Connectivity of all villages and habitations; and

(vii) Streamlining of the public distribution system.

The issue of fiscal consolidation became a top priority for the Governments starting from this Plan, for the first time which had its focus on the following[83] related issues:

(i) Sharp reduction in the revenue deficit of the Government, including centre, states and the PSUs through a combination of improved revenue collections and control of inessential expenditures;

(ii) Cutting down subsidies, collection of user charges on economic services (i.e electricity, transportation, etc.), cutting down interest, wages, pension, PF, etc;